

CEOs to forecast and operate their businesses amid such conditions, and we are keenly aware that other unknown challenges certainly lie ahead. As we write, in 2022, many of the businesses we own and follow are available at what appear to be deep bargain levels while management teams adjust operating expenses in the light of shortfalls in forecasted revenues. Meanwhile, short interest has often risen to extraordinary levels across many of these companies, temporarily depressing share prices further. While we have great humility when short sellers take a position in one of our investments and always challenge ourselves to understand where we could be wrong, it is also important to remember Graham and Dodd's sage observation that market prices are there to serve you, not to inform you.

Graham started his partnership when he was 31 years old, and three years later he managed it through the crash of 1929, followed by the Great Depression and then World War II. It's difficult to imagine how much of a challenge it was investing in those times. In the preface to the first edition of *Security Analysis* in May of 1934, Graham and Dodd wrote, "While we were writing, we had to combat a wide-spread conviction that financial debacle was to be the permanent order" When headlines and casual business conversations cannot help but turn to fear of the macroeconomic environment, we are reminded of Warren Buffett's comment in Berkshire Hathaway's 1994 annual report:¹

We will continue to ignore political and economic forecasts, which are an expensive distraction for many investors and businessmen. Thirty years ago, no one could have foreseen the huge expansion of the Vietnam War, wage and price controls, two oil shocks, the resignation of a president, the dissolution of the Soviet Union, a one day drop in the Dow of 508 points (22.6%), or treasury bill yields fluctuating between 2.8% and 17.4% But, surprise—none of these blockbuster

Buffett, Warren. "Chairman's Letter." Berkshire Hathaway Inc., March 7, 1995.
<https://www.berkshirehathaway.com/letters/1994.html>.